The Indonesian Villa Sector: A Clear Path to 100% Ownership

A Strategic Guide to KBLI 55193 for Investors and Developers

Based on Regulation PP 28/2025

Your Opportunity at a Glance: The Villa Business (KBLI 55193)

Classified as Low Risk

The regulatory framework designates villa businesses as a low-risk activity, simplifying compliance and streamlining the setup process.

100% Foreign Ownership Permitted

This sector is fully open to foreign investment (PMA), allowing for complete ownership and control of your enterprise.

Automatic Approval Mechanism

A 'Fiktif Positif' provision ensures that if the government does not respond within the service level agreement (SLA) timeline, your license is automatically approved.

What Officially Constitutes a ‘Villa Business’?

The Official Definition under KBLI 55193

> “This category encompasses the business of providing public lodging services in the form of private homes that are specifically rented out to tourists, complete with their facilities, and are managed directly by the owner.”

Key Takeaway Box

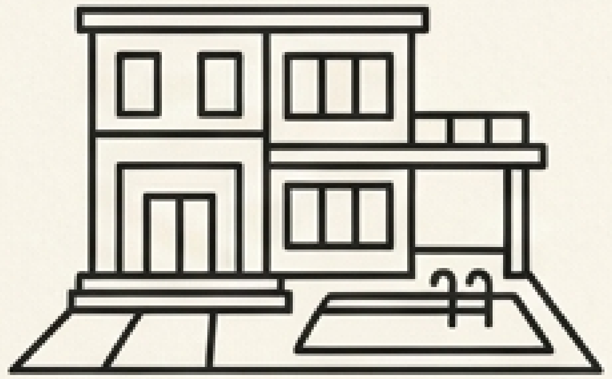
In essence, this classification is for privately-owned, self-managed villa rentals targeting the tourism market.

Per *Peraturan Pemerintah (PP) 28/2025*.

A Framework Designed for All Scales of Operation

Mikro
(Micro)

Kecil
(Small)



Menengah
(Medium)

Besar
(Large)

The KBLI 55193 license is accessible to all business scales, from a single villa managed by an individual to a large-scale portfolio operated by a corporation.

The Core Compliance Checklist: Your Two Key Obligations

As a low-risk category, the path to compliance is direct. Businesses under KBLI 55193 must fulfill two primary obligations:

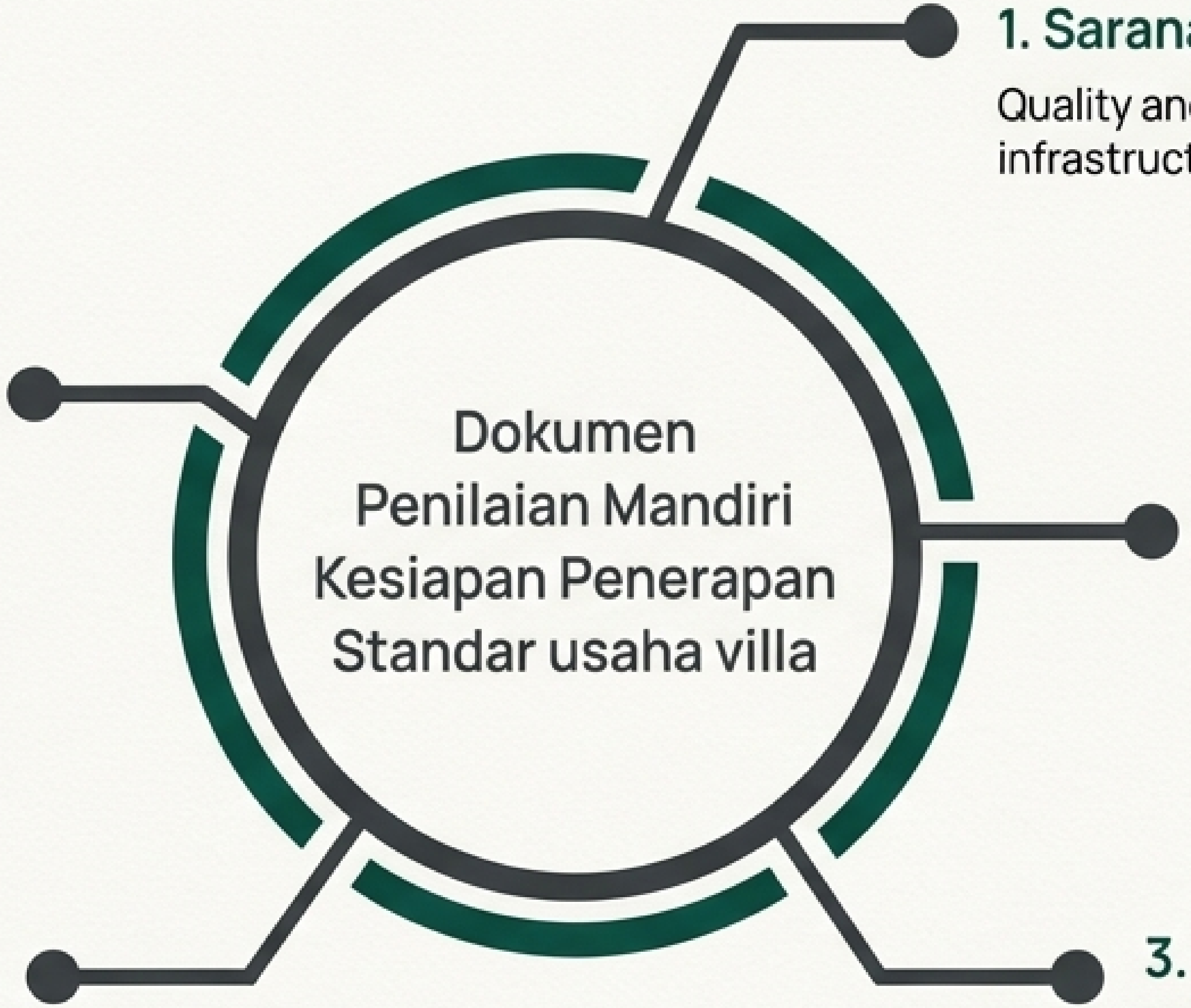
1. **Possess a Health-Worthiness Certificate (Sertifikat Laik Sehat)**

   An official certification confirming that the property meets the required standards for health, hygiene, and sanitation for public lodging.

2. **Complete a Self-Assessment Document**

   A comprehensive self-evaluation of your business's readiness to meet the established standards for a villa operation. This document is a critical part of the licensing process.

The 5 Pillars of the Villa Business Self-Assessment



1. Sarana (Facilities)

Quality and completeness of physical infrastructure, amenities, and equipment.

2. Struktur Organisasi dan SDM (Organizational Structure & Human Resources)

Competency and structure of the management and staff.

3. Pelayanan (Services)

Standard of service delivery, including guest relations and operational procedures.

4. Produk Usaha (Business Products)

The quality and presentation of the accommodation and any ancillary services offered.

5. Sistem Manajemen Usaha (Business Management System)

The effectiveness of your booking, financial, and operational management systems.

Foreign Investment (PMA): 100% Ownership is Sanctioned

100%

PMA (Penanaman Modal Asing)

The Indonesian legal term for a foreign-owned limited liability company, which is the primary vehicle for foreign direct investment.

International investors can establish and operate a villa business in Indonesia without the requirement for a local partner, offering full control over the investment and its operations.

Navigating the Licensing Authorities

Applicant: Foreign Investor (PMA Company)

Authority: Minister / Head of Agency (Menteri/Kepala Badan)

Central government level approval is required for all foreign-owned villa businesses.

Applicant: All Applicants (Mikro, Kecil, Menengah, Besar)

Authority: Regent / Mayor (Bupati/Walikota)

The local government holds the authority to issue licenses for all scales of villa businesses within their jurisdiction.

The “Fiktif Positif” Advantage: Your Automatic Approval Safeguard

KBLI 55193 is one of only 258 business classifications in Indonesia that benefits from the “Fiktif Positif” mechanism.

How It Works

A defined time limit (Service Level Agreement - SLA) is set for the licensing authority to respond to your application.

If the authority does not issue a decision (approval or rejection) within this official timeframe...

...your license is legally and automatically considered approved.

This provision effectively eliminates bureaucratic delays and provides investors with certainty and a predictable timeline.

The Complete Roadmap to Your Villa Business License

1. **Opportunity Defined (KBLI 55193)**

   Privately owned, self-managed villa rentals for tourists.

2. **Favorable Framework**

   Low Risk, 100% PMA, All Scales Welcome.

3. **Clear Obligations**

   Submit Health Certificate & Self-Assessment Document.

4. **Authority Submission**

   File with the correct authority (Central for PMA, Local for all).

5. **Approval Certainty**

   Benefit from the 'Fiktif Positif' safeguard for timely, automatic approval.

Clarity, Certainty, and Control in Indonesia’s Tourism Sector

The regulatory framework for villa businesses (KBLI 55193) under PP 28/2025 is not a barrier, but a blueprint. By designating the sector as Low Risk, opening it fully to foreign ownership, and embedding an automatic approval mechanism, the system is explicitly designed to attract and support investment.

This represents a clear, actionable, and strategically sound opportunity for entry into one of Southeast Asia's most dynamic tourism markets.